

Friendly Society - Overall Resources and Guarantee Fund

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1

Application and Definitions

1.1

Unless otherwise stated, this Part applies to a non-directive friendly society.

1.2

In this Part, the following definitions shall apply:

ancillary risk

means, in relation to a principal risk belonging to a class of general insurance business, a risk included in another such class which is:

- (1) connected with the principal risk;
- (2) concerned with the object which is covered against the principal risk; and
- (3) the subject of the same contract of insurance as the principal risk.

annual contribution income

means, in relation to a firm's long-term insurance business, the income of the firm in a financial year without any deduction for reinsurance cessions.

implicit items

means economic reserves arising in respect of assets which relate to future surpluses, zillmerising or hidden reserves.

initial fund

means the items of capital that were available to a mutual on the date it received a Part 4A permission to effect contracts of insurance or carry out contracts of insurance.

1.3

For the purposes of this Part:

1. (1) a contract of insurance is to be treated as falling within a class of long-term insurance business notwithstanding the fact that it contains supplementary provisions falling within general insurance business class 1 (accident) or class 2 (sickness) if:

1. (a) its principal object is that of a contract falling within a class of long-term insurance business;

2. (b) it is effected or carried out by a firm which has Part 4A permission to effect contracts of insurance or carry out contracts of insurance falling within long-term insurance business class 1 (life and annuity); and
2. (2) a contract of insurance whose principal risk falls within any of general insurance business classes 1, 2 or 16 is to be treated as falling within that class and no other, notwithstanding the fact that it also covers ancillary risks.

2

Basic Margin of Solvency Requirement

2.1

Subject to 2.3, a firm (other than a flat rate benefits business friendly society) must maintain a margin of solvency equal to or greater than the required margin of solvency.

2.2

Where a firm carries on both long-term insurance business and general insurance business, 2.1 has effect as if the requirement to maintain a margin of solvency were a requirement to maintain separate margins in respect of the two kinds of business.

2.3

2.1 does not apply to a firm which does not have Part 4A permission to effect contracts of insurance and is only carrying out contracts of insurance which were effected before 13 September 1993 (or effected pursuant to the terms of such a contract), provided that the firm maintains an excess of the value of its assets over the amount of its liabilities.

3

Calculating the Required Margin of Solvency

3.1

Subject to 3.2 to 3.6, the required margin of solvency must be determined:

1. (1) with respect to long-term insurance business carried on by a firm, in accordance with Friendly Society - Required Margin 2 to 6; and
2. (2) with respect general insurance business carried on by a firm, by taking the greater of:
 1. (a) the higher of the two sums resulting from the calculation of a premiums basis solvency margin set out in Friendly Society - Required Margin 7; and
 2. (b) the sum resulting from the calculation of a claims basis solvency margin set out in Friendly Society - Required Margin 8.

3.2

For a contract of insurance to which 1.3 applies, the required margin of solvency must be determined by taking the aggregate of the results arrived at by applying:

1. (1) in the case of that portion of the contract as is within any class of long-term insurance business, the method of calculation set out in 3.1(1) for that class; and
2. (2) in the case of that portion of the contract as is within general insurance business class 1 or 2, the method of calculation set out in 3.1(2).

3.3

Where a _firm_ carries on _long-term insurance business_ and owing to the nature of that business more than one _required margin of solvency_ applies in respect of that business by the operation of these rules, those _required margins of solvency_ must be aggregated.

3.4

Where a _firm_ carries on both _long-term insurance business_ and _general insurance business_ and is accordingly required to maintain separate _margins of solvency_ in respect of the two kinds of business:

1. (1) the provisions in 3.1 to 3.3 apply for determining the _required margin of solvency_ for each kind of business separately; and
2. (2) assets other than those representing the funds maintained by the _firm_ in respect of its _long-term insurance business_ must only be taken into account in covering the liabilities and the _required margin of solvency_ for the _firm's_ long-term insurance business if they are not included among the assets covering the liabilities and the _required margin of solvency_ relating to the _firm's_ general insurance business.

3.5

Subject to 3.6, in each case in which 3.1(2) applies, if the _required margin of solvency_ under 3.1(2) is lower than the _required margin of solvency_ of the preceding _financial year_, then the _required margin of solvency_ must be adjusted so it is at least equal to the _required margin of solvency_ of the preceding _financial year_ multiplied, if the ratio is less than one, by the ratio (expressed as a percentage) of:

1. (1) the amount of the _insurance liabilities_ for claims outstanding at the end of the preceding _financial year_; to
2. (2) the amount of the _insurance liabilities_ for claims outstanding at the beginning of the preceding _financial year_.

3.6

For the purpose of 3.5:

1. (1) _insurance liabilities_ must not be discounted, or reduced, to take account of investment income, unless:
 1. (a) they relate to risks in _general insurance business classes_ 1 or 2; or
 2. (b) they are reduced to reflect the discounting of annuities; and
2. (2) _insurance liabilities_ must be calculated net of _reinsurance_.

3.7

A _firm_ must notify the _PRA_ immediately in accordance with Notifications 7 where the nature or quality of _reinsurance_ relied on to reduce the _required margin of solvency_ materially changes during the _financial year_.

4

Guarantee Fund

4.1

This Chapter only applies to an _incorporated friendly society_.

4.2

A _firm_ must ensure that its _margin of solvency_ does not fall below the _guarantee fund_.

5

Calculating the Guarantee Fund

5.1

The guarantee fund is an amount equal to the greater of:

1. (1) one-third of the required margin of solvency ; and
2. (2) the minimum guarantee fund.

5.2

In the case of long-term insurance business , a firm must maintain a margin of solvency (excluding implicit items), that are sufficient to cover the greater of:

1. (1) the minimum guarantee fund ; and
2. (2) 50% of the guarantee fund.

5.3

In the case of general insurance business , the unpaid initial fund of a firm and, in the case of a firm with variable contributions, any claim which the firm has against its members by way of a call for supplementary contributions for a financial year may not be taken into account in complying with 4.2.

5.4

In the case of long-term insurance business , the unpaid initial fund of a firm and implicit items which relate to future profits and zillmerising may not be taken into account in complying with 4.2.

6

Minimum Guarantee Fund: Long-Term Insurance Business

6.1

Subject to 6.2, the minimum guarantee fund for long-term insurance business is the amount in column 2 of the following table, which corresponds to the firm's highest annual contribution income in respect of that business in any preceding financial year , as shown in column 1 of the table:

Contribution income (in UK sterling) | Minimum guarantee fund (in UK sterling)

---|---

800,000 | 90,000

800,001 - 1,200,000 | 185,000

1,200,001 ? 1,600,000 | 280,000

1,600,001 ? 2,000,000 | 370,000

2,000,001 ? 2,400,000 | 470,000

2,400,001 or more | 560,000

6.2

If a firm has not been in existence long enough to have a preceding financial year , the minimum guarantee fund for long-term insurance business is £90,000.

7

Minimum Guarantee Fund: General Insurance Business

7.1

The _minimum guarantee fund_ for _general insurance business_ is £210,000.

8

Valuation of Solvency Margins

8.1

A _firm_ must take account of 8.2 to 8.6 in determining the extent to which a _firm's_ margin of solvency_ covers the _required margin of solvency_, the _guarantee fund_ and the _minimum guarantee fund_.

8.2

A _firm_ with variable contributions, carrying on _general insurance business_, must treat any claim which the _firm_ has against its members by way of a call for supplementary contributions for a _financial year_ as having no value.

8.3

A _firm_ must treat _implicit items_ as having no value.

8.4

A _firm_ must treat an unpaid _initial fund_ as having no value.

8.5

Subject to 8.6, if a _firm_ discounts or reduces its _insurance liabilities_ for claims outstanding to take account of investment income, the _margin of solvency_ must be reduced by the difference between:

1. (1) the undiscounted _insurance liabilities_ for claims outstanding or the _insurance liabilities_ for claims outstanding before deductions; and
2. (2) the discounted _insurance liabilities_ for claims outstanding or the _insurance liabilities_ for claims outstanding after deductions.

For these purposes, _insurance liabilities_ must be calculated net of _reinsurance_.

8.6

8.5 does not apply:

1. (1) to risks in _general insurance business classes_ 1 or 2; or
2. (2) in respect of the discounting of annuities.